What Happened to You, France?

Public Finances, Bond Markets and Politics in 2026

Record debt, a deficit twice the euro-area average and three governments lost since 2024. France now borrows above Italy.





NO. I

Executive Summary

Key figures and overall assessment

119.0% public debt to GDP, Q2 2026, a record (INSEE)	**5.1%** deficit to GDP in 2025, vs 2.9% in the euro area
4.96% 10-year OAT peak on 1 Oct 2026, highest since 2002	**−0.6%** CAC 40 since the June 2024 dissolution; DAX +38.1%

France has the euro area’s largest public spending, one of its largest deficits and a debt that has risen by about 20 points of GDP since 2019. Since the snap election of June 2024, two prime ministers have fallen and a third has resigned, three agencies have cut the rating to A+, and in 2026 France began to borrow at higher rates than Italy.

Our view: this is a slow-moving fiscal problem turned into a market problem by politics. There is no funding crisis, but the State’s interest bill now exceeds the armed forces budget, and the 2027 election leaves little room for correction.

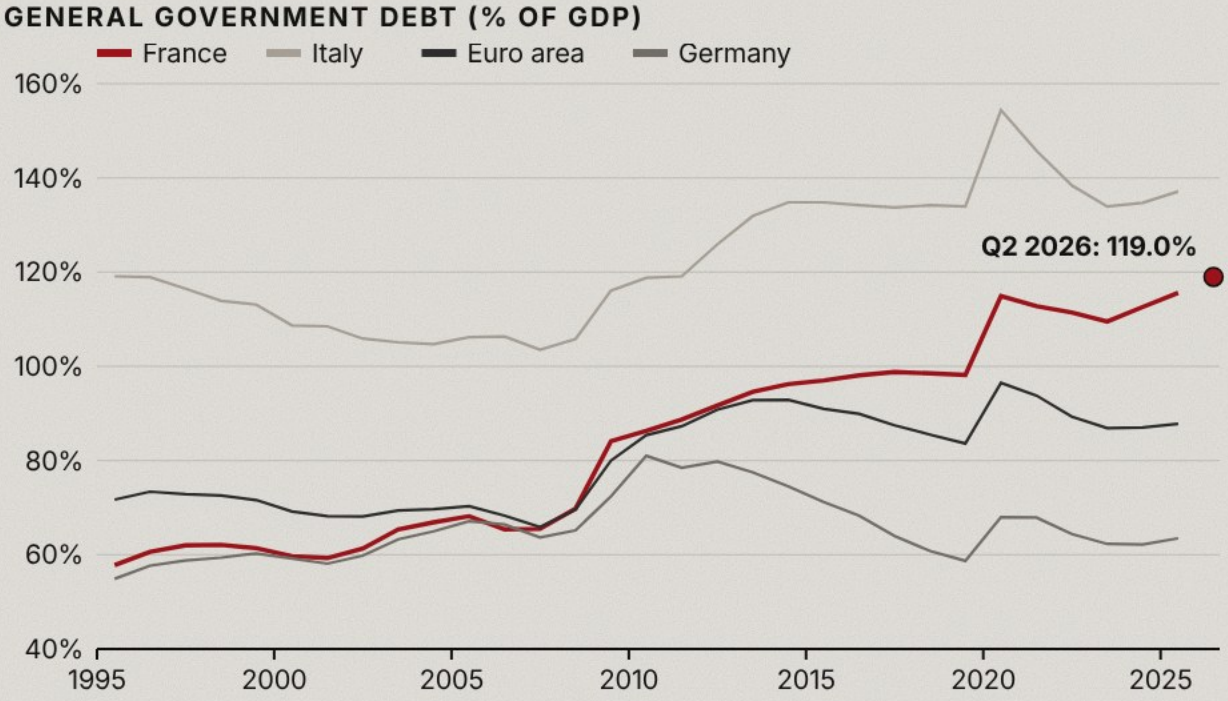
NO. II

The Debt Trajectory

Government debt, 1995 to 2026

France has not balanced a budget since 1974. Its debt, just over 20% of GDP in the early 1980s, reached 98% in 2019, jumped during the pandemic and kept rising afterwards, unlike in Italy, Spain or Portugal. In the second quarter of 2026 it hit a record 119.0% of GDP, or €3.6tn.

GENERAL GOVERNMENT DEBT (% OF GDP)



Sources: Eurostat (annual, 1995 to 2025); INSEE (Q2 2026); Banque de France (1980s and last balanced budget).





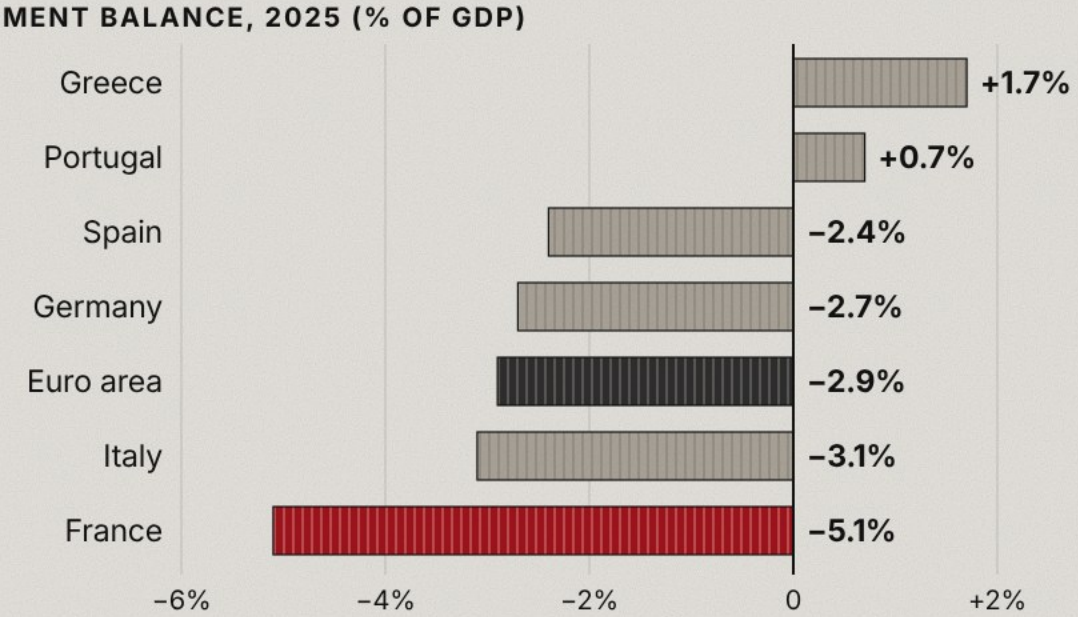
NO. III

The Deficit

General government balance, 2025

The 2025 deficit came in at 5.1% of GDP, better than forecast but, according to the Cour des comptes, thanks to higher taxes rather than spending restraint. It is now expected at 5.4% in 2026. The 2027 budget aims for 5.0% with €54bn of measures; the fiscal council calls its growth assumptions optimistic.

GOVERNMENT BALANCE, 2025 (% OF GDP)



Source: Eurostat (April 2026 notification). 2026 and 2027 figures from the French government and the Haut Conseil des finances publiques.

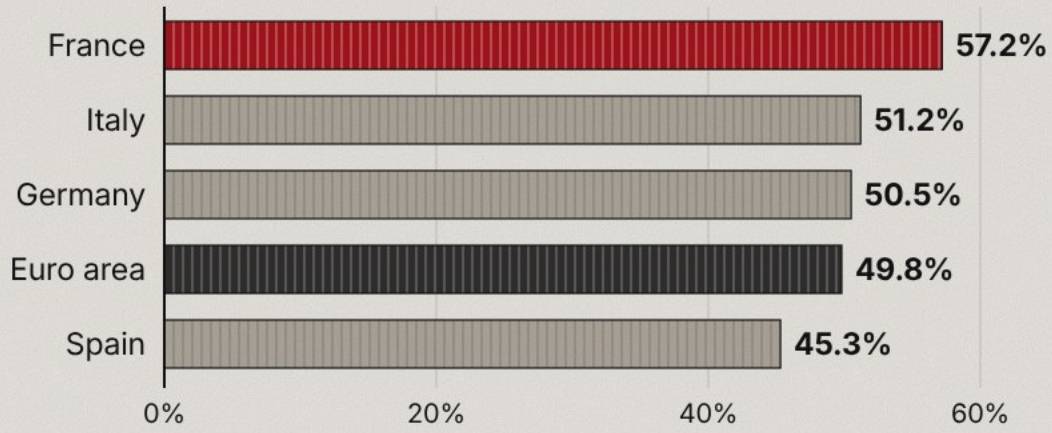
NO. IV

Spending and Taxes

The size of the state

Public spending reached 57.2% of GDP in 2025, the highest in the euro area and 7.4 points above its average. The Banque de France attributes about two-thirds of the gap to social protection, with pensions alone worth 2.2 points. Compulsory levies take 43.6% of GDP, so the deficit cannot easily be closed through taxes; the 2023 pension reform has been suspended until 2028.

GOVERNMENT EXPENDITURE, 2025 (% OF GDP)



Sources: Eurostat; INSEE; Banque de France (comparison with euro-area peers, 2023 data).





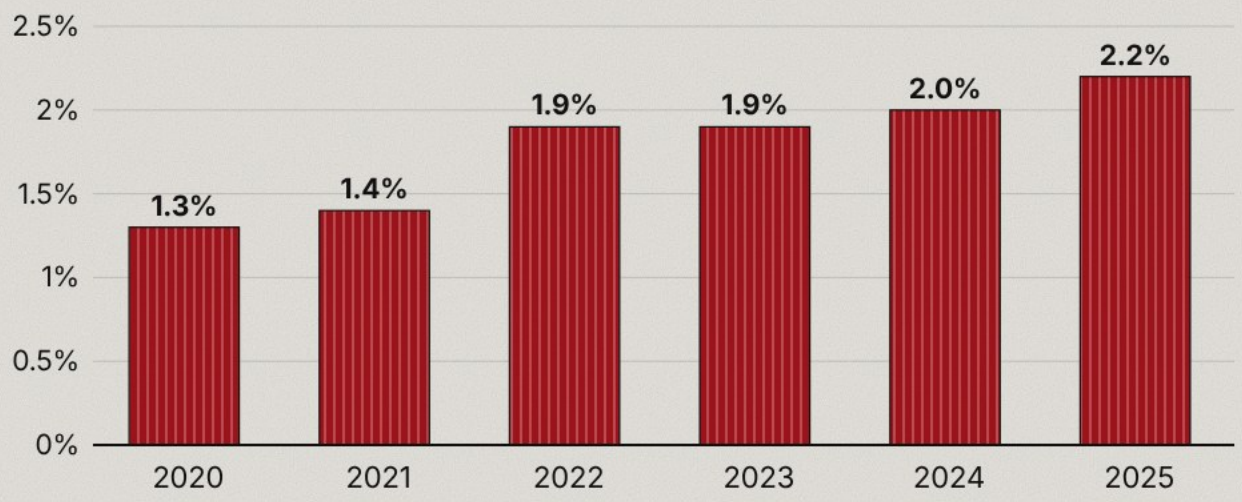
NO. V

The Cost of Debt

Interest payments

Higher rates are feeding through. General government interest rose 11% in 2025 to €64.7bn (INSEE), or 2.2% of GDP, up from 1.3% in 2020. In the 2027 budget bill the State's interest bill, €72.9bn, exceeds the armed forces budget. The Cour des comptes expects interest of more than €100bn a year by 2029.

INTEREST PAID BY GENERAL GOVERNMENT (% OF GDP)



Sources: Eurostat; INSEE; 2027 budget bill (PLF 2027) as reported; Cour des comptes (June 2026).

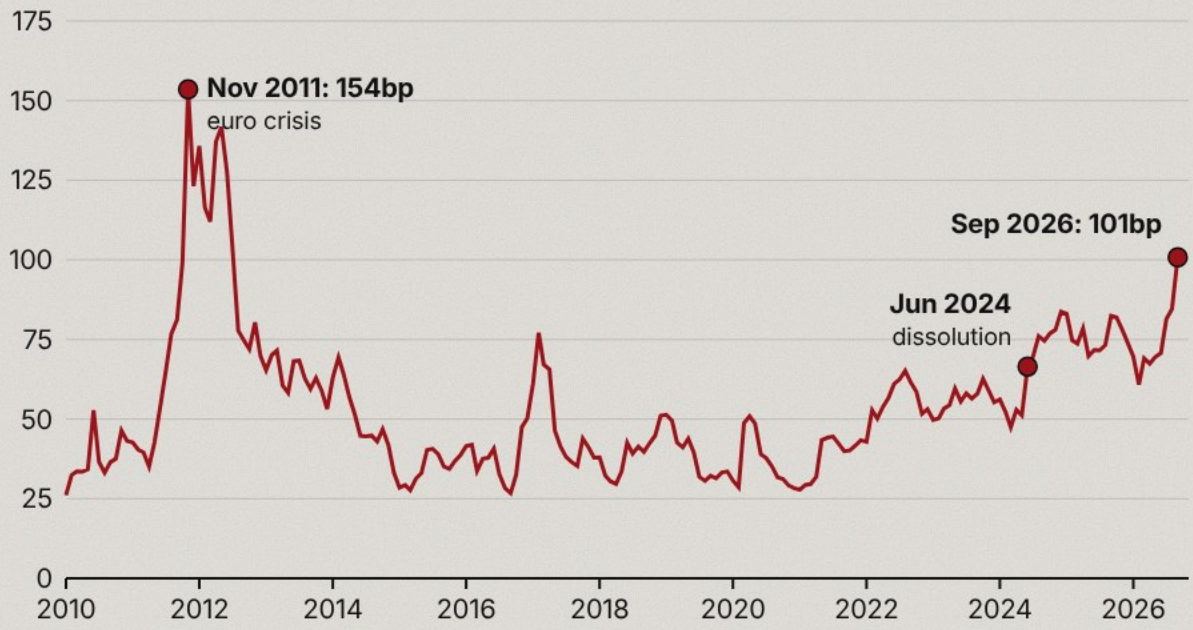
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The Bond Market

France against Germany

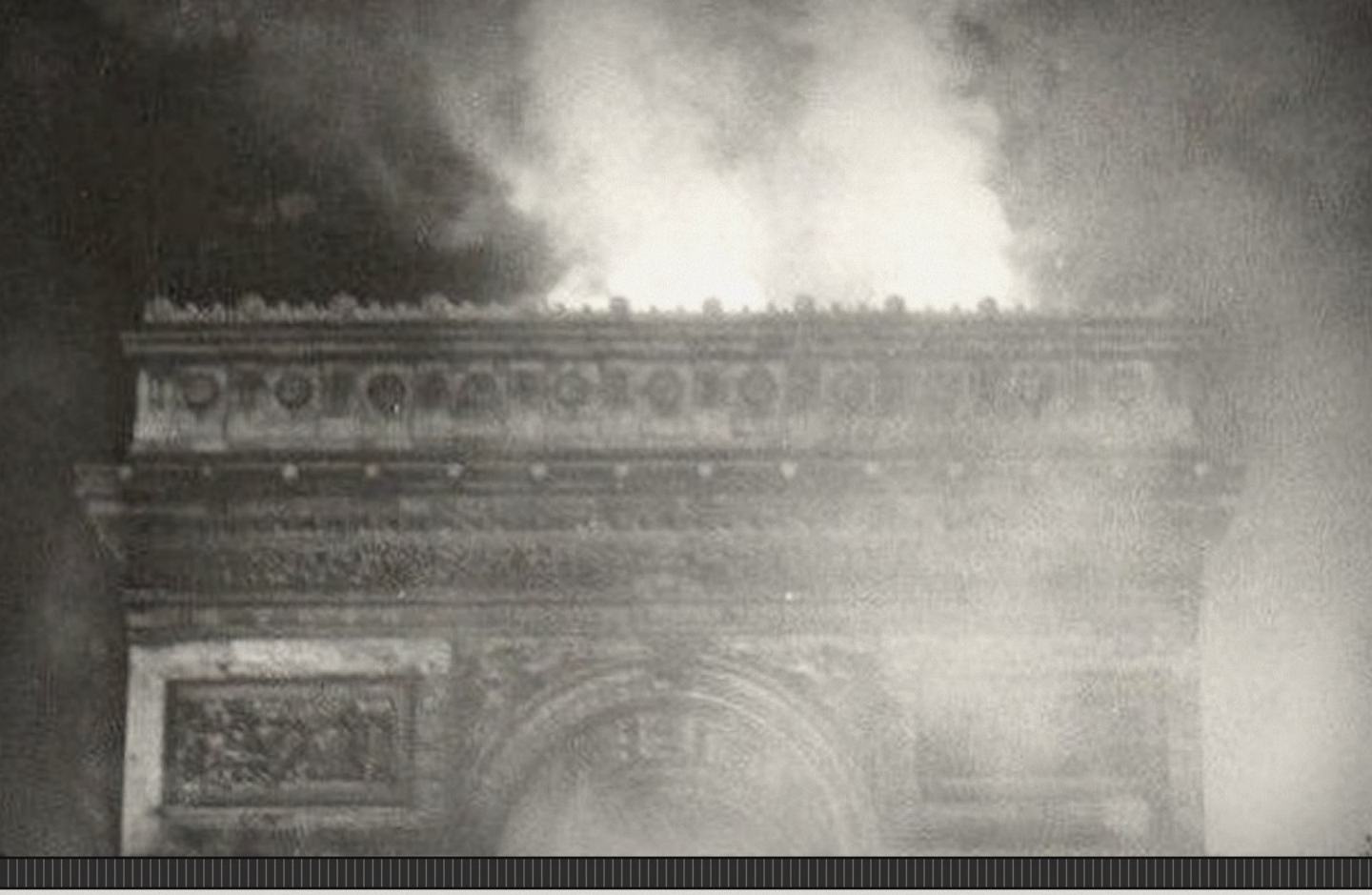
The extra yield investors demand on French ten-year bonds over German Bunds was about 50bp before the June 2024 dissolution. It averaged 101bp in September 2026, the most since 2012. On 1 October the ten-year OAT yield touched 4.96%, its highest since 2002, and the spread reached 133bp (Reuters); intraday on 2 October it passed 150bp, the widest since 2011 (Bloomberg).

OAT-BUND 10-YEAR SPREAD, MONTHLY AVERAGE (BP)



Source: OECD long-term interest rates via FRED (monthly averages); Andra Markets calculation. Daily data from Reuters.





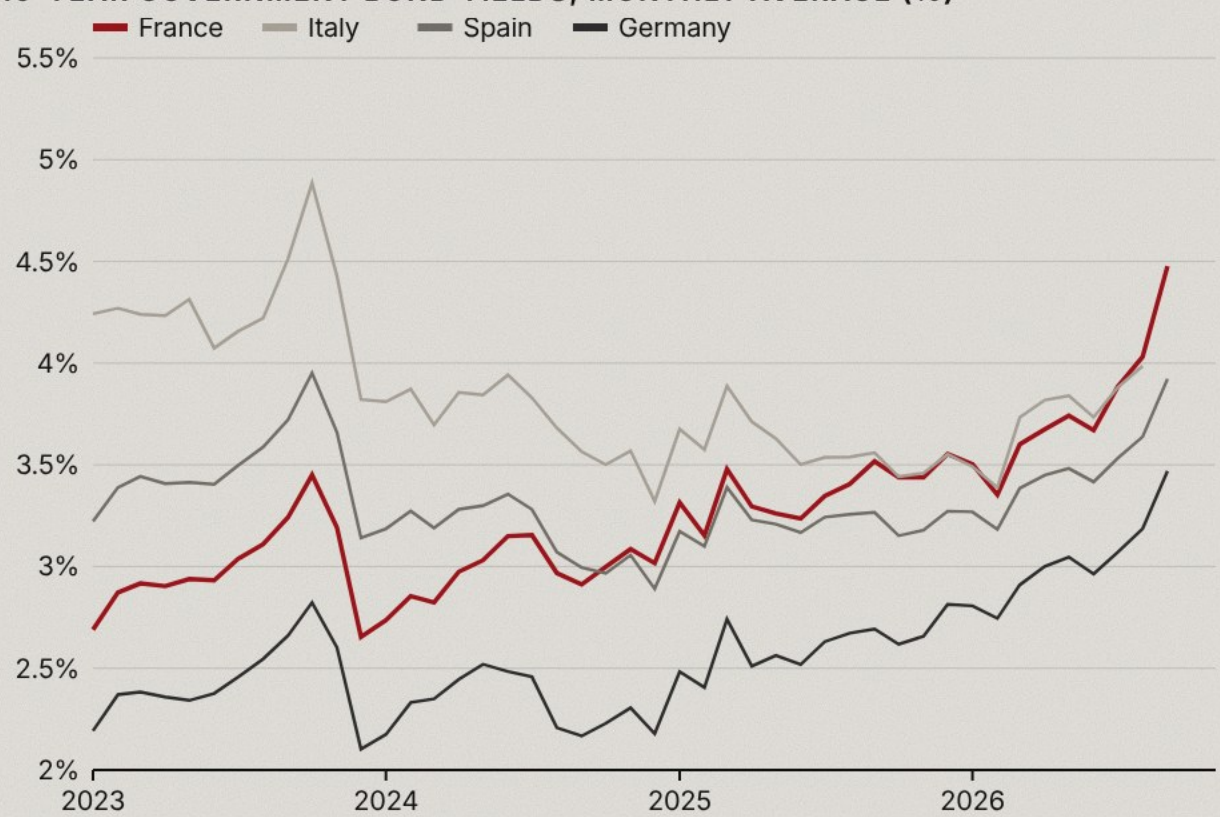
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France and Southern Europe

Ten-year yields

For a decade France borrowed far more cheaply than southern Europe. In November 2024 its ten-year yield briefly matched Greece’s; in September 2025 it matched Italy’s; and since late August 2026 it has been above Italy’s, by a record 30bp on 9 October, as reported. Spain now borrows more cheaply than France.

10-YEAR GOVERNMENT BOND YIELDS, MONTHLY AVERAGE (%)



Sources: OECD via FRED (monthly averages; Italy to August 2026); Bloomberg, ANSA and press reports for daily crossings.

NO. VIII

Credit Ratings

Agency actions since 2025

Fitch and S&P cut France to A+ in the autumn of 2025, and Scope followed in September 2026. Moody’s, the last of the large agencies at the AA level, has France on negative outlook and reviews it on 23 October.

AGENCY	RATING	KEY ACTION	NEXT REVIEW
Moody’s	Aa3, negative	affirmed, 10 Apr 2026	23 Oct 2026
S&P	A+, stable	cut from AA−, 17 Oct 2025	27 Nov 2026
Fitch	A+, stable	cut from AA−, 12 Sep 2025	n.a.
Scope	A+, stable	cut from AA−, 18 Sep 2026	n.a.
DBRS	AA, negative trend	trend change, 18 Sep 2026	n.a.
KBRA	AA−, stable	n.a.	11 Dec 2026

Sources: Agence France Trésor; Bloomberg; France 24.





NO. IX

Political Instability

Governments and budgets since 2024

Since the June 2024 dissolution produced a hung parliament, no government has had a majority. The 2026 budget was passed only in February, without a vote, and the 2027 budget is again in difficulty. Marine Le Pen’s appeal court ruling in July left her free to run in April 2027, pending a ruling by the Cour de cassation, and she leads first-round polls.

DATE	EVENT
Jun 2024	snap election; hung parliament
Dec 2024	Barnier government falls to a censure motion
Sep 2025	Bayrou loses a confidence vote, 364 to 194
Oct 2025	Lecornu resigns and is reappointed four days later
Feb 2026	2026 budget adopted by Article 49.3
Jul 2026	Le Pen appeal ruling; she declares her candidacy
Oct 2026	committee rejects revenue part of the 2027 budget
Apr 2027	presidential election, first round

Sources: Bloomberg; Al Jazeera; Public Sénat; polling compilations (secondary sources).

NO. X

Investors and Issuance

Who funds France

France has no difficulty selling its bonds, but it must sell more of them and to more price-sensitive buyers. The Treasury plans a record €340bn of medium and long-term issuance in 2027, while the Eurosystem is reducing its holdings. ECB President Lagarde said on 14 October that “the primary and first solution lies at home”, pushing back on talk of central-bank support.

INDICATOR	LATEST
Issuance programme, 2026	€310bn
Issuance programme, 2027	€340bn, a record
Held by non-residents	57.5% (Q1 2026, market value)
French credit institutions	10.5% of negotiable State debt (Q1 2026)
ECB deposit rate	2.50%
EU excessive deficit procedure	open since Jul 2024; target below 3% by 2029

Sources: Agence France Trésor (issuance; holdings, monthly bulletin); Bloomberg; ECB; European Commission.





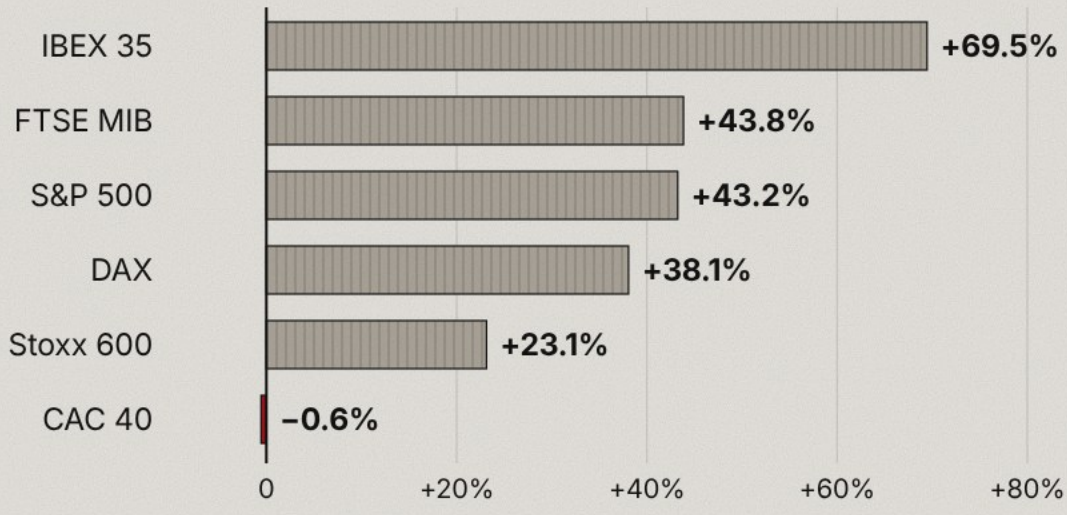
NO. XI

Equities

Paris against its peers

The CAC 40 is back where it was before the dissolution, while Madrid, Milan and Frankfurt have gained between 38% and 70%. Banks have suffered as sovereign spreads widened, and luxury, a large part of the index, has collapsed: LVMH is down 38% this year and Kering 28%. TotalEnergies, up 45% on oil, is the exception.

INDEX CHANGE SINCE 7 JUNE 2024 (%, LOCAL CURRENCY)



Source: Yahoo Finance closes, 7 June 2024 to 16 October 2026; Andra Markets calculations. Price indices, excluding dividends.

NO. XII

The Real Economy

Growth, prices and households

The economy has stalled. GDP fell 0.2% in the first quarter of 2026 and was flat in the second, as the energy shock from the Middle East war pushed inflation above 3%. Households keep saving about 17% of their income, a sign of low confidence rather than a lack of resources.

INDICATOR	LATEST
GDP growth, Q1 / Q2 2026	−0.2% / 0.0% q/q
GDP forecast 2026 / 2027 (Banque de France)	0.4% / 0.9%
Unemployment rate, Q2 2026	8.3%
Inflation, Sep 2026 (CPI / HICP)	3.1% / 3.4%
Household savings rate, Q2 2026	17.2%
Business failures, last 12 months	~72,000 (Altares)

Sources: INSEE; Banque de France (September 2026 projections); Altares as reported by DAF Magazine.





NO. XIII

Verdict

Overall assessment and indicators

Not a debt crisis, but a slow loss of credibility

France can fund itself; the question is at what price, and who will cut the deficit before 2027

INDICATOR	LATEST	NEXT TEST
Moody’s rating	Aa3 negative	review, 23 Oct
2027 budget	in Assembly	first vote ~20 Oct
OAT-Bund spread	~135-140bp	new high above 2 Oct peak
S&P rating	A+ stable	review, 27 Nov
Presidential election	Le Pen leads polls	Apr 2027

Andra Markets selection. Daily spread from market data as reported (16 October).

NO. XIV

Methodology and Sources

Data and limitations

Fiscal data are Eurostat and INSEE national accounts; bond spreads use OECD monthly averages via FRED, with daily levels from press reports; equity changes are Andra Markets calculations from Yahoo Finance closes. Forecasts differ between the government, the IMF, the Commission and the Cour des comptes and are attributed in the text.

Principal sources. Eurostat; INSEE; Banque de France; Cour des comptes; Haut Conseil des finances publiques; Agence France Trésor; European Commission; IMF; ECB; FRED; Yahoo Finance; Reuters; Bloomberg; Il Sole 24 Ore; ANSA; France 24; Altares.

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